

Table 22.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the <i>handle height</i> (not cup height), then subtract it from the price of the right rim low. The bottom portion of the table shows how often the measure rule works.
Head-and-shoulders	Look to the left of the cup to see if another handle appears. If so, this might be a head-and-shoulders top with handles as shoulders.
Open short	When price closes below the right rim low, short the stock. Only experienced traders should short a stock.
Close short	If price declines quickly, several points in a few days (almost vertical), consider closing the short position. Price usually rebounds after such quick declines (forming V-bottoms, a chart pattern).
Trendline	Draw a trendline down from the handle. When price closes above the trendline, cover your short.
Measured move down	The handle may be the corrective phase of a measured move down. Sell when price nears the amount of the first leg decline.
Stop location	See Table 22.7 for hints on where to place a stop-loss order.
Busted trade	See Table 22.9 for guidance.

Description	Bull Market	Bear Market
Percentage reaching half height target	83%	81%
Percentage reaching full height target	62%	62%
Percentage reaching 2× height	36%	31%
Percentage reaching 3× height	20%	19%

For example, suppose the handle price peaks at 20 and the breakout (the low at the right cup rim) is at 17. Subtract the difference, 3, from the right cup rim, 17, to get the target price of 14. A drop of 3 points in a \$17 stock is